NIKE NYSE: NKE SHORT

PRICE (22 OCT 2026)	12M TARGET	DOWNSIDE	BULL / BEAR
$38.33	$31.16	−19%	$47.88 / $16.92

Locust Partners, University of Pennsylvania, Ahmed Turki, Chiara Ma, Nelson Liu

Half a recovery, priced as a whole one. After Q1 FY27 the Street cut FY28 EPS by 25% and the stock rose 8%. The weakness is priced; what the price pays for is a recovery, and consensus FY28 is flat sales with EPS +20%, all of it margin. Our variant view is the timing and breadth of that recovery, built on primary data: card spend, store traffic and web visits via Dewey Data, plus resale, promotion and search captures. Nike is shipping to retailers faster than shoppers buy, the pattern that preceded the FY24 wholesale decline; fewer visitors to its own stores are buying; and the running revival is not reaching the lifestyle half that has to recover. Our FY28 EPS is $1.22 against $1.60, the target is $31.16, and three dated tests fall inside eight weeks.

AT A GLANCE

Market cap / net cash	$56.8bn / $0.5bn
Forward P/E (peer median)	26.6x (11.5x)
Forward EV/EBITDA (peers)	18.0x (7.5x)
52-week range	$31.97 – $70.44
Short interest / days to cover	8.4% / 2.6
Dividend yield / payout	4.3% / 124%
Street: Buy / Hold / Sell	13 / 25 / 10
Street mean target	$35.99
Credit: S&P / Moody's	A / A2, negative

CONSENSUS VS US, FY28

	Street	Ours
Revenue growth	+0.8%	−1.4%
NA wholesale	+0.3%*	−4.0%
NA Direct	−0.7%*	−2.6%
Gross margin	42.0%	41.7%
EPS	$1.60	**$1.22**
Q2 FY27 EPS	$0.40	$0.36

Street figures are global wholesale and Direct.

THREE CASES

	Value	vs price
Bull (25%): Street is right	$47.88	+25%
Base (50%): our theses	**$31.16**	**−19%**
Bear (25%): FY24 repeats	$16.92	−56%
Probability-weighted	$31.78	−17%
Monte Carlo median	$32.00	−17%
P(value < price)	85%	
Cover level	$45	+17%

CALENDAR

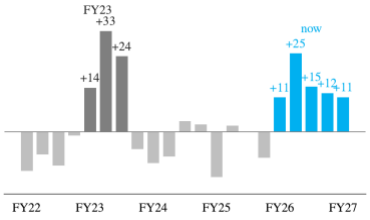
17 Nov Investor Day: Sportswear sizing, classics sell-through, margin target
late Nov Dick's Q3: inventory vs sales
18 Dec Nike Q2 FY27: margin and Direct
Jun 2027 FY28 guidance

THE BUSINESS IN TWO LINES

Nike sells through wholesale (58% of North America; revenue booked at shipment to Dick's, Foot Locker and others) and NIKE Direct (42%; nike.com, inline stores, Factory). North America is 44% of revenue and where our data sit. Under CEO Hill (Oct 2024) Nike is rebuilding wholesale, cutting classics (Dunk about −50%) and taking $2.5bn of cost out through FY31.

1 Same playbook, different warehouse

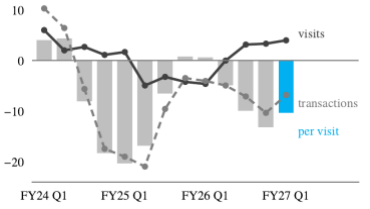
Nike books wholesale revenue when it ships, so a retailer can take more than it sells. In Q1 FY27 North America wholesale grew 8.9% while Direct fell 6.0%: the same demand moved from Nike's channels into retailers. Wholesale growth minus card-spend growth at Dick's and Foot Locker has run +11, +25, +15, +12 and +11 points for five straight quarters, where a normal year sits near zero and flips sign. In FY23 the gap ran +14, +32 and +24; within two quarters NA wholesale was down 8.4% and 8.8%. The difference is where the excess sits. Nike's inventory growth minus revenue growth peaked at +41 points in FY23 Q1 and is +1 today; Dick's inventory (pro forma for Foot Locker) is growing about 7 points faster than its sales. The stock moved down the chain, and a retailer destock still cuts Nike's orders and brings markdown support. Our base is FY28 NA wholesale −4% (Bear −8%, FY24's number; Bull +1%) and gross margin 41.7% against 42.0%; each point of NA wholesale is about $120mm of revenue and $0.03 of EPS.



NA wholesale YoY minus retailer card spend YoY, pts

2 High traffic, low conversion

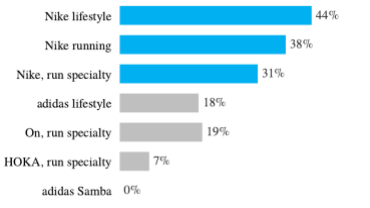
Management says Direct is shrinking by design. If so, spend per purchase would be rising and the people who still show up would be buying. In the Q1 FY27 window Nike US online card transactions fell 12.6% and offline 6.8% while spend per transaction was flat: the decline is customers, not price. US full-price stores had 4.0% more visits and 6.8% fewer transactions, so purchases per visit fell about 10%, the fourth straight quarter of widening. Nike's online share among Nike, adidas, On and Hoka breaks lower each March (−4.5, −3.9, −6.0 points) and On took most of it. We model NA Direct as traffic × conversion × spend per transaction, with traffic +2% and conversion −5% in FY28: NA Direct −2.6% against consensus −0.7%.



US full-price Nike stores: visits, transactions, purchases per visit, YoY %

3 The running revival is not reaching the half that has to recover

Running has grown double digits for five quarters and added about $1bn; management calls it the halo over Sportswear and Jordan. On the Q1 call Nike sized the problem: Sportswear is just under half of revenue and down low double digits, Jordan down mid-teens. With Performance growing high single digits, revenue stops shrinking only when Sportswear's decline is cut by more than half, and nothing outside Nike shows it. US search interest in Nike lifestyle terms is down 68% since 2021–22 while "sneakers" is flat, and still −19% in the latest year as running terms rose 21%. On GOAT every classic clears below retail (Dunk Low Panda −40%, a 17-day-old Jordan 1 High OG −24%, the Vomero 5 −45%). On nike.com 41 to 44% of lifestyle colourways were on promotion in late October against 18% for adidas lifestyle and 0% for the Samba. A supply cut should lift resale and hold price; this is a demand problem wearing a supply-discipline label.



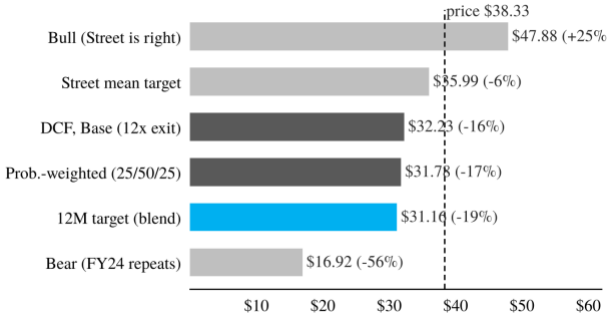
Share of colourways on promotion, 25 Oct 2026

Valuation

Our five-year model drives North America from the theses: wholesale set quarter by quarter in FY27 (Q2 −8%, Q3 flat, Q4 +3% against last year's +24% Q2) and −4% in FY28; Direct as traffic × conversion × spend; other regions on consensus. Gross margin runs 41.4 / 41.7 / 42.0 / 42.3 / 42.5% (consensus 41.4 / 42.0 / 42.8), with only 55% of the $2.5bn Pace savings reaching EBIT because Nike has always reinvested savings in demand creation. EBIT margin recovers from 5.0% to 8.5% by FY31; the reverse DCF says the price needs 10.1% by FY32.

The DCF (8.5% WACC: risk-free 5.0%, beta 0.96, ERP 4.3%; 12x exit against a 15-year median of 19x) gives $32.23. We apply 20x FY29 EPS ($1.54) and 12x FY29 EBITDA, multiples 25 to 35% below Nike's own history rather than the 11.5x / 7.5x peer median, because Nike has never traded there and a target built on it would not survive the first question; those give $30.86 and $28.26. The 60/20/20 blend is $31.16, not rolled forward because a short should not be credited with the cost of equity.

Bull is the Street being right: wholesale +1%, conversion flat, gross margin to 43%, FY29 EPS at consensus, 13x exit; it is our cover case. Bear is FY24 repeating with margin stuck near 41% and a 10x exit. The point-estimate risk:reward is 0.75x; the distribution is what carries the short. In 5,000 Monte Carlo runs with correlated shocks to growth (±2 points a year), margin (±1 point), WACC (±50 bp) and exit multiple (±1.5x), the median is $32.00, the 5th to 95th percentile $23.68 to $42.26, 85% of outcomes are below the price and 2% above $45.



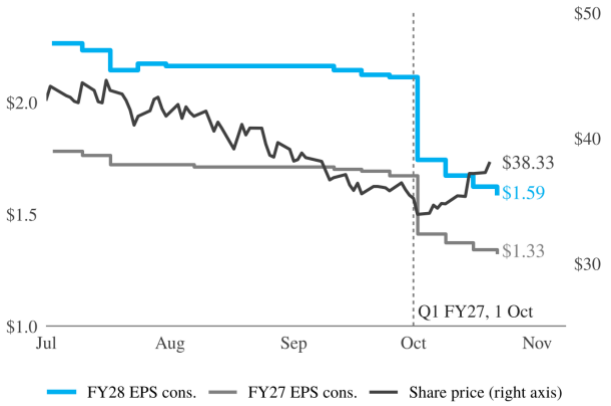
Value per share by case, today, against the $38.33 price

Scenario	DCF	Blend	vs price
Bull: Street right, GM 43%, 13x	$49.99	$47.88	+25%
Base: theses, 12x	$32.23	$31.16	−19%
Bear: FY24 repeats, 10x	$17.51	$16.92	−56%
Probability-weighted (25/50/25)		$31.78	−17%
12-month target (Base blend)		**$31.16**	**−19%**

Blend = 60% DCF + 20% P/E (20x FY29 EPS) + 20% EV/EBITDA (12x FY29 EBITDA). Base FY28 EPS $1.22 vs consensus $1.60; FY29 $1.54 vs $1.97.

What the market has priced

After Q1 FY27 on 1 October, FY27 EPS consensus went from $1.67 to $1.33 and FY28 from $2.11 to $1.59, and the stock went from $35.40 to $38.33, with a low of $33.87 on 2 October; forward P/E went from 21.5x to 26.6x. The market looked through the cut because it is paying for FY28 and FY29, not FY27. What it is paying for is specific: revenue flat, gross margin +60 bp to 42.0%, EPS +20%, and a reverse DCF that needs a 10.1% EBIT margin by FY32 against 5.8% in consensus FY27. Estimates are already down 25%; the short does not need them to fall further this quarter, it needs the FY28 recovery to arrive late, and the Street still has it on time.



FY27 and FY28 EPS consensus against the share price, July to October 2026

What the first print should show

Q2 FY27 on our numbers: revenue $11.35bn against $11.20bn consensus (the +24% comparison still clears), gross margin 40.9% against 41.0%, EPS $0.36 against $0.40. The quarter is a margin and Direct story, not a revenue miss; the revenue roll-over is Q3 and Q4.

Event path: what confirms, what breaks

Event	Confirms the short	Breaks it (we cover)
Investor Day, 17 Nov	Sportswear still down double digits; no full-price sell-through data; margin target without a date	Sportswear decline narrowed to mid-single digits with sell-through numbers and a dated margin bridge
Dick's Q3, late Nov	Inventory still growing faster than sales; talk of managing receipts of a key brand	Inventory growth below sales growth
Nike Q2 FY27, 18 Dec	NA wholesale slows hard against +24%; Direct −4% or worse; gross margin at or below 41%	Wholesale clearly positive and Direct better than −4%
Weekly through FY27	Purchases per visit, online share, nike.com promotion rate and the GOAT basket keep deteriorating	A sustained turn in any of them, ahead of a print

Risks, and what we do about them

- **A lot is already priced** FY27 EPS consensus was $2.50 a year ago; the stock is down 57% from its 2024 high. The short does not need new bad news; it needs the FY28 recovery (EPS +20% on flat sales) to be late, and consensus still has it on time.
- **Gross margin is already rising** +60 bp in Q1 FY27, on warehousing, logistics and FX, while discounts and channel mix were a drag. Our margin call is FY28, when retailer destocking brings markdown support as in FY23. If Q2 and Q3 margins expand while wholesale slows, the Thesis 1 margin leg is wrong and the target moves up about $3.
- **Investor Day squeeze** Ambitious targets, 8.4% short interest, a 4.3% dividend to pay. Dated catalysts limit the holding period; the cover level is $45;
- **The wholesale growth is real share gain** Retailer card spend covers every brand. Dick's inventory growing 7 points faster than sales says stock is building; Dick's Q3 settles it either way.
- **A product cycle lands** Performance grew high single digits and a hit franchise would lift conversion; Air Force 1 search has flattened. Our exit signal is purchases per visit turning positive, and we cover rather than argue with it.
- **Data limits** US-only panels, Consumer Edge ends 7 August 2026, resale and promotion figures are snapshots. Every chart states its window; the sell-in argument stands on Nike's and Dick's filings, the data flags it earlier.

Link to model

Sources: Nike 10-K FY2019–26 and 10-Q Q1 FY27; Nike Q4 FY26 and Q1 FY27 earnings calls and release; Dick's Sporting Goods 10-Q (quarter to 1 Aug 2026); Consumer Edge, Advan and Similarweb via Dewey Data; Google Trends; GOAT; nike.com, adidas.com, on.com and Running Warehouse captures; Piper Sandler; Bloomberg Terminal.